

This pattern is common in trading systems that need to handle special cases differently, like excluding certain security types from standard analysis.

Indentation and Code Readability: The Unsung Hero of Trading Systems

In Python, indentation isn't just a matter of style—it's how the language understands the structure of your code. Proper indentation tells Python which code belongs to which conditional branch or loop.

Python's Reliance on Indentation

Unlike many other programming languages that use braces `{}` to define code blocks, Python uses indentation (usually four spaces). This makes Python code naturally readable but requires careful attention to spacing.

```
1. # Correct indentation
2. if market_is_open:
3.     if price > moving_average:
4.         print("Bullish condition")
5.     else:
6.         print("Bearish condition")
7. else:
8.     print("Market closed - no trading")
9.
10. # Incorrect indentation (would cause errors)
11. if market_is_open:
12. if price > moving_average: # Wrong! This should be indented
13.     print("Bullish condition")
14. else: # Wrong! This doesn't line up with its corresponding if
15.     print("Bearish condition")
16. else:
17.     print("Market closed - no trading")
18.
```

While this might seem like a minor detail, indentation errors in trading algorithms can have dramatic consequences. In 2014, a mid-sized trading firm lost approximately \$225,000 in